THE MANAGEMENT OF PUBLIC SECTOR FINANCIAL RECORDS: THE IMPLICATIONS FOR GOOD GOVERNMENT

By

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PREVIEW

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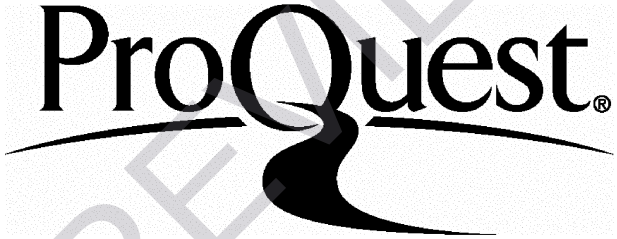
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To my mother Bertha Akotia and the memory of my father Godfried Akotia for teaching me the meaning of the covenant

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My final debt is a very extensive one indeed. It is to my wife Emily and daughters Enyonam, Dzidzo and Yaa Yaa who endured my long absence from home. This enterprise has not been in vain and I thank you for standing by me.

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ABSTRACT

The study is a critical examination of the relationship between public sector financial records and good government. It examines the records and the record keeping systems in the central administration of finance against the background of the essential good government issues, namely, effective systems of guidance and decision making, accountability, transparency and the rule of law. The study also examines the on-going Records Management Improvement Programme in Ghana, the objective of which is to strengthen the technical and institutional capacity of the National Archives of Ghana in order to transform it into the Public Records and Archives Department. Its new mandate will be to manage government's recorded information through the unified vision of meeting the needs of users at all stages of the records life cycle. The study points out that forty years after independence, systems and procedures for managing recorded information in the financial bureaucracy are still rooted in the old colonial inheritance meant to service a small bureaucracy with limited functions and fewer records.

The study argues that public finance is a major instrument of constitutional, political and administrative control and that it provides the basis for decision making and the implementation of programmes. Well kept financial records must underpin financial management business processes if the national economy is to be effectively managed. The study further argues that when effectively managed, recorded financial information provides a key resource for securing the evidence base of public financial management.

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The study advocates a strengthened and independent national audit authority whose partnership with the Public Records and Archives Department will provide the basis for securing accountability. Furthermore, the accountability partnership requires support from other major stakeholders in financial accountability in order to strengthen the quality of financial records management and ensure compliance with existing legislation. Finally, the study calls for an understanding of the basic record keeping conditions necessary for effective computer applications in the financial bureaucracy. It calls for a forward policy and regulatory framework to promote the effective management of records in relation to the diffusion, adoption and efficient use of computer technology.

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LIST OF ABBREVIATIONS

AAI	Accountability Aid Initiative
AAPAM	Association of African Public Administrators and Managers
ACA	Association of Canadian Archivists
ACARM	Association of Commonwealth Archivists and Records Managers
CA	Courts Act
CAG	Controller and Accountant General
CAGD	Controller and Accountant General's Department
DLAS	Department of Library and Archival Studies, University of Ghana, Legon
ERP	Economic Recovery Programme
ICA	International Council on Archives
IMF	International Monetary Fund
IPPD	Integrated Payroll and Personnel Database Project
IRMT	International Records Management Trust
LI	Legislative Instrument
NDPC	National Development Planning Commission
NRCD	National Redemption Council Decree
ODA	Overseas Development Administration now Department for International Development
ODI	Overseas Development Institute
OHCS	Office of the Head of the Civil Service
PAC	Public Accounts Committee
PACT	Programme for Accountability and Transparency
PNDCL	Provisional National Defence Council Law
SAP	Structural Adjustment Programme
SLAIS	School of Library, Archives and Information Studies, University College London
SMCD	Supreme Military Council Decree
UNDP	United Nations Development Programme

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CHAPTER 1

INTRODUCTION

1.1 Background to the study

Economic crisis caused by external factors and policy failures in the 1970s led to the introduction of the structural adjustment lending facility. Since the 1980s, structural adjustment has come to acquire the meaning of wholesale economic reform under conditional programmes agreed with bi-lateral donor institutions. The programme has been expected to address the deteriorating terms of trade and also to correct policy and institutional distortions.[1] The July 1979 rise in oil prices created a set of new realities to which all economies have had to adjust. The Anglo-American democracies went into voluntary adjustment; fiscal imperatives also compelled reform of their government machinery to prepare them to respond to new challenges.[2] Sub Saharan Africa failed to adjust. Similarly, it ignored the signals to renew government. The impetus for change came however, in the 1980s, due largely to fiscal and monetary policy failures. There was hardly any area of public policy that was not in distress. This study examines the relationship between these failures and the management of public sector financial records.

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[1] Please, S., "From structural adjustment to structural transformation", van der Geest, W. (ed.) Negotiating structural adjustment in Africa, London: James Currey, 1994, p.15

[2] Savoie, D.J, Thatcher, Reagan and Mulroney: in search of a new bureaucracy, Pittsburgh: University of Pittsburgh Press, 1994, see also Boston, J., "The theoretical underpinnings of public restructuring in New Zealand", Boston, J et al (eds.) Reshaping the state: New Zealand's bureaucratic revolution, Auckland: Oxford University Press, 1991

Public finance is the life blood of any state, developed or developing. While it must raise public funds, government must also have an effective and efficient institutional mechanism for controlling and administering those funds. Subsequently, it must also translate government policy into effective action. Public financial management constitutes, as a result, one of the most fundamental responsibilities of governments. In an era of economic policy reform, public financial management has become that critical element determining the overall ability of government to manage its economy.

Public financial management and the records that underpin that process throw light on fundamental questions of power in a state, for control of the "public purse" and the exercise of power are closely related. The exercise of power and authority lies at the heart of governance. Brautigam points out that:

> Governments use their power and authority to establish and maintain the formal and informal framework of institutions that regulate social and economic interaction. Governments create the rule of law necessary to underpin accountability, transparency and predictability in interactions. Governments - in interaction with their citizens - determine many of the pre-conditions for a thriving, or a declining, domestic economy.[3]

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The net result of Ghana's economic crisis in the 1970s and early 1980s was a deterioration in all spheres of the Ghanaian economy. With the support of bi-lateral donor institutions, the Ghana Government initiated the Economic Recovery Programme (1984 - 1986) to reverse

[3] Brautigam, D,. Governance and economy, Washington, DC: World Bank, 1991, p.1

the decline and establish a proper climate for economic growth.[4] In 1987, the government introduced structural adjustment to:

> ... consolidate the gains from the stabilisation of the economy (from the previously chaotic state of affairs resulting from a decade or more of mismanagement of the economy) through a programme of structural adjustment and development.[5]

The principal objective of adjustment was economic growth through sustained fiscal and monetary discipline. A market friendly set of incentives, designed by the government and bi-lateral agencies to encourage the accumulation of capital and the more efficient allocation and management of resources, set the stage for the introduction of a market economy.

Sector adjustment operations (SECAL), a World Bank institutional reform lending facility in agriculture, trade, industry, financial, labour markets, education, judiciary and public enterprises were soon added as a means of broadening and deepening the adjustment process. SECAL emphasised the complementary nature of policy and institutional reform. It also highlighted the importance of creating and sustaining indigenous institutional capacity in both the public and private sectors. The institutional reforms were designed to introduce:

- organisational restructuring and strengthening measures
- regulatory and procedural reforms

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[4] Government of Ghana, "Programme of action to mitigate the social costs of adjustment", Accra, November 1987, p.4

[5] ibid., p.4

- sector policy and planning capacity building.[6]

Public sector management intervention in Ghana focused in large measure on the Civil Service. The Ghana Civil Service had over-extended itself, which led to poor performance of its technical and institutional capacities. The Civil Service lay at the core of the decline of the government machine. Robinson observed that:

> The government of Ghana's ... macro economic objectives include sustaining economic growth, increasing investment and savings, improving the balance of payments and reducing the debt service ratio, and improving the management of resources in the public sector. The last of these objectives, in addition to civil service reform includes improvements in the means for policy formulation and management in the areas of economics, public expenditure, taxation and public enterprise performance.[7]

In the short term, the objectives of the reform of the Civil Service involved cost containment measures. In the medium term, the reform emphasised strengthening of personnel management. The main components of both short and medium term programmes were:

- personal policy and management
- incomes policy and salary administration
- management services
- labour rationalization
- training and manpower development

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[6] Paul, S., Institutional reforms in sector adjustment operations, Washington DC: World Bank, 1989, pp.4 - 18

[7] Robinson, T., "Civil service reform in sub Saharan Africa", paper presented at ODA Conference, London, 29-31 March 1989, p.1

- integrated payroll and personnel database management
- records management improvement.[8]

The provision made in the Civil Service reform programme for records management improvement marked a shift in the development strategies of Ghana. In fact the recognition by governmental authorities that government records systems are a critical success factor in the performance of government marked a paradigm shift in a larger sense. The Ghana Records Management Improvement Programme introduced in 1991, was the only one of its kind among the fifty seven World Bank supported operations in twenty six sub Saharan African countries.[9] This study argues that in Ghana, restructuring of the records management systems of government was crucial for improving the efficiency of economic policy reforms and overall public sector management. Records management systems were needed to underpin business processes. The study will demonstrate that a whole range of wider reforms in relations to strengthening planning and organizational capacity in the Civil Service would have been enhanced had the Records Management Improvement Programme been introduced earlier and had a wider remit . This may be a lesson for other countries.

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[8] Government of Ghana, "Civil service performance improvement programme for good governance", vol. 1, (strategic framework), Accra, September 1994, p.2

[9] Dia, M., A governance approach to civil service reforms in sub Saharan Africa, Washington DC: World Bank, 1993, pp.45-48 (Annex: lending operations with civil service reform components, 1981-1992)

The Records Management Improvement Programme in the Civil Service, focused on registry management, as a starting point for introducing records management systems. It did not address the management of financial records, which is outside the jurisdiction of registries and was initially considered to fall within the remit of accountants. As a result, despite the various policy measures implemented to strengthen financial management, the overall ability of government to manage the Consolidated Fund[10] remained weak due to the very poor and chaotic state of the existing paper-based financial records systems. The study outlines costs associated with the failure to manage recorded financial information and the implications for good government. These include impediments to efficiency enhancement and obstructions to the process of introducing accountability and transparency to the financial management functions of government.

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1.2 Purpose of the study

The purpose of the study is to establish the relationship between recorded financial information and good government. On the one hand, recorded information is presented as the cornerstone of government's information infrastructure. Its effective management can provide government with a key resource for managing the economy and a means of protecting citizens' rights. The management of recorded information must be integrated and

[10] The Consolidated Fund is the aggregate of all balances kept by the government at various banks together, with assets in which such balances have been invested and cash in hand at the various treasuries. Within the Commonwealth, constitutions actually create the Consolidated Fund. Bennion, F.A.R. "Financial provisions of the Republican Constitution", Audit Bulletin, 3(4) 1961, p.27

cross-sectoral to ensure that information, in whatever medium, is managed as a strategic resource of government. The integration of records and archives management into a unified records programme will help shift the focus from the medium to the information itself. This study argues that it is essential to reinforce the advantages of paper based financial records in the financial mechanism, even as computerized systems are introduced. Paper records are a critical source of verifiable evidence, which is essential to accountability and transparency.

The study will demonstrate the advantages of ensuring that recorded financial information, regardless of medium, is available for socio-economic development; institutional and infrastructural strengthening; and planning and budgeting within the concept of the changing global economy.

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1.3 Objectives of the study

The study examines the relationship between public sector financial records and good government. Through an analysis of the objectives, business processes and records systems of the central administration of finance, it explores the correlation between public sector financial records and accountability, efficiency, transparency and the rule of law. It examines the link between recorded information, good government and economic efficiency.

Public financial management is concerned with arrangements for collecting revenue and for its disbursement as expenditure, together with the linked activities of public borrowing and lending. All public agencies create financial records which are held in financial branches or

individual operating units. The study focuses on the four core institutions of government which play a significant role in planning, co-ordinating and controlling the flow of public funds. These are the Ministry of Finance, the Controller and Accountant General's Department, the National Development Planning Commission and Auditor General's Department. They are the core of the central financial mechanism. All other public agencies or sectors of the national economy have a financial relationship with them.

The study argues that because these four institutions carry out specific tasks in the management of the Consolidated Fund, their functions and business activities must be effectively balanced and interlocked by an efficient records management systems. A systematic analysis of their functions and business processes provides a coherent framework for understanding the technical and organizational issues involved in managing the records they create. The information flows and the nature of controls have been analysed. The study illustrates where and how recorded information, associated with functional processes, is held, either centrally or decentrally. This analysis provides the background to understanding the relationship and significance of public sector financial records and good government.

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The study has three main objectives:

- establish firmly that public sector structures and business processes cannot be built and sustained without cross-sectoral improvements in the management of recorded information

- define the relationship between public financial management, the information it produces and good government
- demonstrate the critical importance of managing financial records as a strategic resource.

1.4 Limitations of the study

The early stages of field work involved obtaining authorization for the study from the agencies of the central management of finance. Obtaining permission was time consuming and this limited the time that could be spent studying financial functions and the records they generated. The stringent vetting process was due to the fact that senior managers view financial operations as highly confidential.

There were also difficulties in obtaining official publications. Publications such as the Auditor General's annual report on the public accounts of Ghana and the report and financial statements of the Controller and Accountant General are public documents and once published should be available for purchase.[11] In practice this is not the case. When ultimately obtained, the reports provided important information on accountability and efficiency issues in relation to the management of the Consolidated Fund.

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[11] Financial Administration Regulations, 1979 (LI 1234), regulations 871 (a) and 873

No aspect of the machinery of government has been more neglected in academic study than the financial sphere. This is so despite the significance of public financial management as the machinery for co-ordinating and controlling the various financial tasks of the entire government. In her historical study of Ghana's financial bureaucracy, Margaret Priestley points out that the major academic interest in the financial sphere has been in the "broad strategy" for the use to be made of public funds in meeting policy objectives.[12] While economists have devoted attention to economic and financial policy issues, to such matters as debt and taxation, there has been very little investigation into the machinery for the management of the public funds. The lack of detailed and intensive investigations has meant that there are few secondary source materials on the agencies of the central administration of finance.

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1.5 Significance of the study

The inadequacy of records management systems in Ghana is a fundamental impediment to the quality of government action. Good government and the ability of the state to create, sustain and promote strong and equitable development programmes is dependent, in part, on the way recorded information is managed. The objective for managing public records should be to ensure that public officers have access to relevant, timely and reliable information. Public sector management in Ghana is characterised by information poverty resulting from

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[12] Priestley, M., Ghana's financial bureaucracy: a historical approach, Accra: Ghana Universities Press, 1976, pp. 5-6

problems associated with acquiring, retrieving, processing and disseminating various types of information.

Information poverty takes many forms. Hanna, in her useful study entitled The information technology revolution and economic development, summarises the forms of poverty as:

> Planning without facts, unreliable information on external debt, poor information support to top decision makers, inadequate financial control and cumbersome reporting and monitoring systems, poor information on the performance of public enterprises, limited access to development information for rural populations, limited channels for exchanging development experiences within and among countries, professionals and researchers without access to national statistics and international research findings... under used indigenous and locally produced knowledge, poor access to timely information on national markets...[13]

There is no doubt that information technology can improve information supply. Particularly in the financial domain, it can improve policy analysis, macro economic management, debt management, enterprise management and accounts administration.

On the strength of these widespread benefits, the solution offered to governments in sub-Saharan Africa in overcoming information poverty is information technology. Computer technology is increasingly viewed as the driving force of global development. Countries at the very fringes of development cannot be insulated from its pervasive force. This study, however, argues that Ghana's information management problems derive from the way

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[13] Hanna, N.K., The information technology revolution and economic development, Washington DC: World Bank, 1991, pp. 5-6

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information is organized, not simply the degree of automation, and that it is imperative to structure records at the point of creation to reflect the functions and business requirements of government. Paper based records systems are the foundation of Ghana's information infrastructure. This study will demonstrate that the way forward is not to compound an already chaotic situation through wholesale computerization, but rather to restructure the paper based manual system to provide a foundation for computerization. It argues in favour of a systematic approach to acquiring control of recorded information.

Economic efficiency demands that information about government; policies and actions be made available and that major processes of economic policy making and transactions be transparent.[14] This study identifies the records management structures required in the central administration of finance and demonstrates the widespread nature of information poverty in the financial sector. It demonstrates that the absence of effective structures and systems for the management of financial records have implications for good government. It is a planned and structured contribution to enhanced knowledge about the machinery for the management of public funds.

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[14] World Bank, Governance and development, Washington DC: World Bank, 1992, p.15.